UDACITY

Digital Advertising

Plan a Multichannel Campaign

Campaign Brief

Background

Advertiser:
Spoke Bicycles

Marketing Objective:
Drive $1 million in cycling product sales across target audiences in next quarter with 25% of this sales growth from new customers.

Target Audience:
Cycling enthusiasts who are not yet customers and people actively researching or planning to buy cycling products in cities with Spoke Bicycle shops.

Background

Profit Margin:
On average, Spoke has a 50% profit margin for each sale. In other words, it makes $50 in profit for each $100 in cycling product sales.

Campaign:
Although Spoke would like to grow its market share with new customers, it does not want to lose money while advertising to these target audiences (ROI > 0).

Conversion Assumptions:
On average, a store visit results in $25 product sales.
On average, 25 ad clicks result in 2 store visits.

Formulas

Profit:
Profit = Product Sales * Margin

Return-on-Investment:
ROI = Profit / Ad Cost

Cost Per View:
CPV = Campaign Cost / Views

Cost Per Action:
CPA = Campaign Cost / Store Visits

Budget:
Budget = Target Profit / Target ROI

Part 1

Evaluate Campaign Effectiveness

Campaign Effectiveness

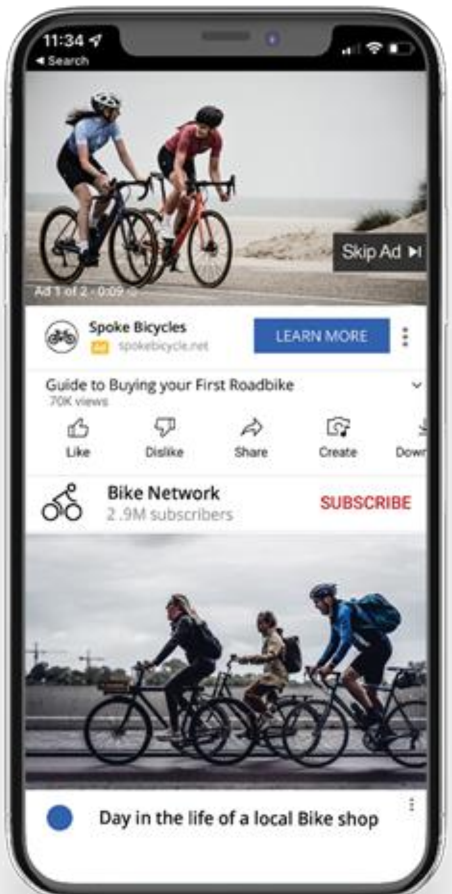
Spoke used YouTube video ads to drive considerations among new customers and shopping display ads to drive sales among in-market audiences. Its **marketing goal was to achieve $1 million in sales** by driving store visits - with a growth objective of 25% new customers.

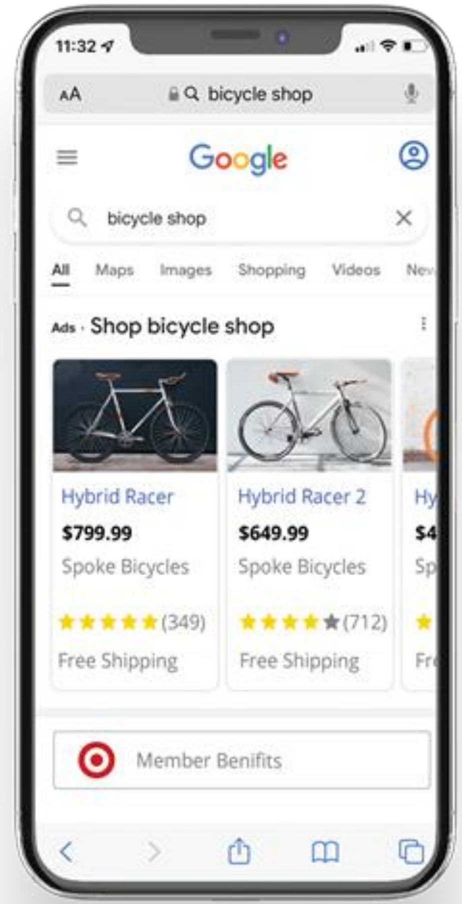
Campaign Setup

Campaign	Campaign Goal	Bid	Target
YouTube Video	Product Considerations	CPV	$0.033
Shopping Display	Product Sales	CPA	$9.375

Note: Stoke tracks store visits as a key metric across the customer journey. All transactions are fulfilled locally at the bike shops with customers visiting the stores to purchase there or pickup cycling products purchased online.

Campaign Effectiveness - Ads





Campaign Effectiveness

1. Calculate the total values and the actual KPI-s
2. Answer the questions below the data

Campaign	Cost	Views	Store Visits	Sales	Bid Strategy	Target KPI	Actual KPI
YouTube Video	$240,000	6,000,000	7,680	$192,000	CPV	< $0.033	**$0.040**
Shopping Display	$282,000	35,250,000	32,000	$800,000	CPA	< $9.375	**$8.81**
Total	**$522,000**	**41,250,000**	**39,680**	**$992,000**			

Did the overall campaign achieve the sales objective?

No. Total sales were $992,000.

Did each strategy deliver on its target KPI?

YouTube Video did not deliver ($0.040). *Shopping Display delivered ($8.81).*

Calculate the ROI

Calculate the target profits and budget below

Campaign	Budget	Target Sales	Target Profit	Target ROI
YouTube Video	N/A	$250,000	**N/A**	N/A
Shopping Display	N/A	$750,000	**N/A**	N/A
Total	**N/A**	**$1,000,000**	**$500,000**	**1.0**

Calculate the actual profit and ROI below

Campaign	Cost	Sales	Profit	ROI
YouTube Video	$240,000	$192,000	**$96,000**	**0.40**
Shopping Display	$282,000	$800,000	**$400,000**	**1.42**
Total	$522,000	$992,000	**$496,000**	**0.95**

Calculate the ROI

What was the overall ROI of the campaign? Was it positive or negative?

Overall ROI = 0.95 is technically positive (>0), but below the target (1.0).

The YouTube Video campaign dragged down performance.

YouTube ads recommendations

Provide **at least three suggestions** to improve this campaign so that it can achieve its marketing objective and deliver a positive ROI for its brand advertising tactics aimed at audiences who are not yet Spoke customers.
(Answers might include things like: different creative, changes to targeting, A/B testing, measurement updates, and more)

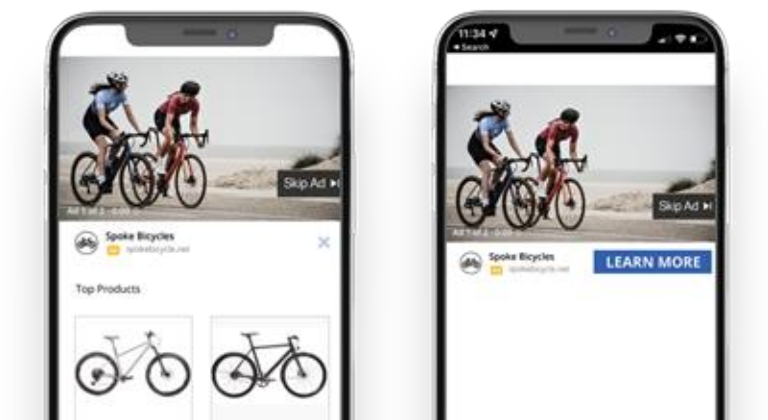
1. **Reduce CPV with tighter targeting** — the CPV overran at $0.040 vs. $0.033 target. Narrow audiences to in-market cycling buyers near store locations to reduce wasted impressions.
2. **Add shoppable video overlays** — link product cards directly in the video to drive lower-funnel actions and improve cost efficiency.
3. **A/B test creative** — test a short 6-second bumper ad vs. the current format. Shorter ads typically achieve lower CPV.
4. **Remarket to video viewers** — use Display Remarketing to re-engage anyone who watched ≥50% of the YouTube ad, turning soft brand awareness into store visits.

Part 2

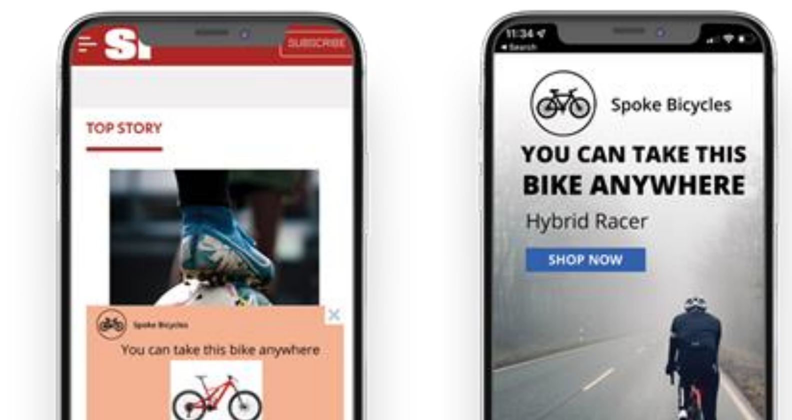
Test & Learn to Make Decisions

Display Remarketing

In order to improve their current strategy of engaging upper funnel audiences with YouTube video ads while converting lower funnel audiences with Google Shopping display ads, Spoke experimented with a multichannel ad strategy of engaging audiences as they journey down the marketing funnel with both video and display ads. Specially, Spoke's experiment tested its hypothesis that showing display ads to audiences who viewed or interacted with the YouTube videos would drive more store visits and improve its ROI.



Youtube Ads



Google Shopping Ads

Display Remarketing: KPI

1. Calculate the CPV and the total values
2. Answer the question below the data

Campaign	Ad Cost	Views	CPV
YouTube Video (Test)	$18,000	450,000	**$0.040**
Display Remarketing (Test)	$3,000	350,000	**$0.0086**
Total	**$21,000**	**800,000**	**$0.0263**

Did the test campaign deliver on the target KPI if it was "CPV < $0.033"?

Yes. The combined CPV of $0.0263 beats the target.

Display Remarketing: ROI

1. Calculate the Sales Profit, ROI and the Total values
2. Answer the question below the data

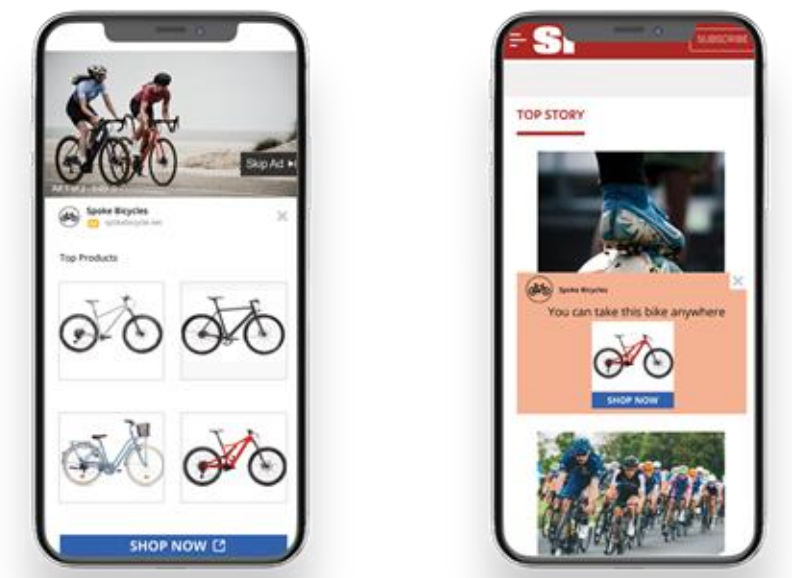
Campaign	Ad Cost	Sales	% Margin	Sales Profit	ROI
YouTube Video (Test)	$18,000	$14,400	50%	**$7,200**	**0.40**
Display Remarketing (Test)	$3,000	$9,600	50%	**$4,800**	**1.60**
Total	**$21,000**	**$24,000**	**50%**	**$12,000**	**0.57**

Did the test campaign improve the ROI for its upper funnel ads, if the YouTube Video (Control) ROI was 0.4?

Yes. Combined ROI of 0.57 > 0.40.

YouTube Video Shopping

Although capturing the user's attention is important to drive video ad views, Spoke experimented to evaluate whether shoppable videos on YouTube will grow sales (and store visits) while optimizing cost per actions to manage the overall costs for this strategy. The YouTube video shopping test campaign includes optimized targeting, call-to-actions, YouTube channel partnerships, and browsable product imagery alongside the video ads.



YouTube Video Shopping: KPI

1. Calculate the CPA for each campaign
2. Answer the question below the data

Campaign	Ad Cost	Store Visits	CPA
YouTube Video (Control)	$18,000	576	**$31.25**
YouTube Video (Test)	$18,000	768	**$23.44**

Did the test campaign deliver on the target KPI if it was "CPA: < $30.00"?

YouTube Video (Control): No ($31.25>$30.00)

YouTube Video (Test): Yes ($23.44<$30.00)

YouTube Video Shopping: ROI

1. Calculate the Sales Profit and the ROI
2. Answer the question below the data

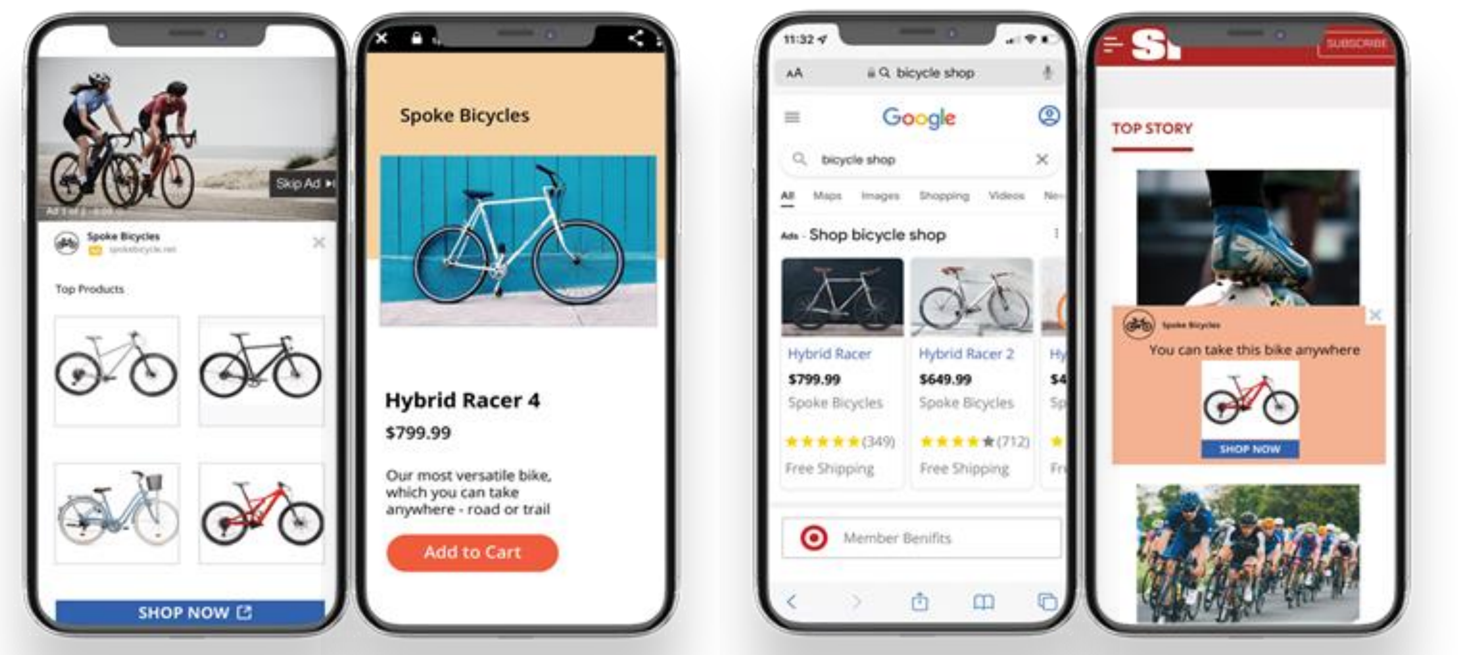
Campaign	Ad Cost	Sales	% Margin	Sales Profit	ROI
YouTube Video (Control)	$18,000	$14,400	50%	**$7,200**	**0.40**
YouTube Video (Test)	$18,000	$19,200	50%	**$9,600**	**0.53**

Did the test campaign improve the ROI for its YouTube video ads?

Yes. ROI rose from 0.40 → 0.53 (+33%)

Multichannel Strategy

After confirming its hypothesis that an integrated multichannel strategy with shoppable YouTube video ads and display remarketing ads will improve performance, Spoke ran an experiment to evaluate the overall impact of these tactics when running alongside it shopping display ads for in-market audiences.



Multichannel Strategy: KPI

1. Calculate the CPA for each campaign and the total values
2. Answer the question below the data

Campaign	Ad Cost	Store Visits	CPA
YouTube Video Shopping	$18,000	768	**$23.44**
Display Remarketing	$3,000	384	**$7.81**
Shopping Display	$28,200	3,200	**$8.81**
Total	**$49,200**	**4,352**	**$11.31**

Did the test campaigns deliver on the target KPI if it was “CPA: < $12.5”?

Overall, yes ($11.31). YouTube Video Shopping alone misses, but the blended multichannel CPA clears the target.

Multichannel Strategy: ROI

1. Calculate the Sales Profit and the ROI for each campaign and the totals
2. Answer the question below the data

Campaign	Ad Cost	Sales	% Margin	Sales Profit	ROI
YouTube Video Shopping	$18,000	$19,200	50%	**$9,600**	**0.53**
Display Remarketing	$3,000	$9,600	50%	**$4,800**	**1.60**
Shopping Display	$28,200	$80,000	50%	**$40,000**	**1.42**
Total	$49,200	$108,800	50%	**$54,400**	**1.11**

What was the overall ROI for the campaigns? Was it positive or negative?

Yes, and it exceeded the target of 1.0 which confirms that the multichannel strategy works.

Part 3

Plan a Multichannel Campaign

Set the budget and forecast results

You need to calculate the Store Visits and Ad Costs to know what budget you will need. **To start the calculations, see the campaign brief.**

Audience	CPA	Target Sales	Store Visits	Ad Cost
Lifestyle: Cycling Enthusiasts (+ Not a Customer)	$18.23	$250,000	**10,000**	**$182,300**
In Market: Cycling Products & Accessories	$8.81	$750,000	**30,000**	**$264,300**
Total	$11.17	$1,000,000	**40,000**	**$446,600**

Calculate the target profit, ROI and the budget.

Campaign	Target Sales	Target Profit	Target ROI	Budget
Multichannel (YouTube Video + Display Remarketing/Shopping)	$1,000,000	**$500,000**	**1.0**	**$500,000**

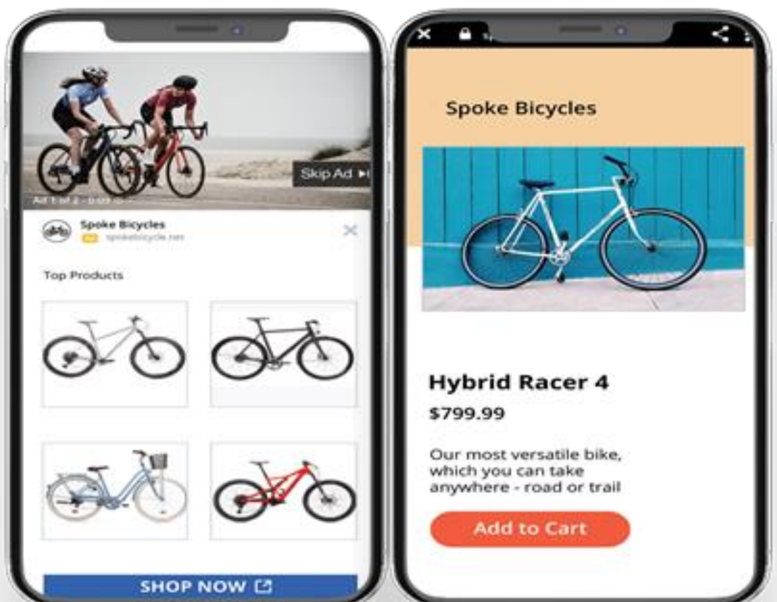
Inputs to create a campaign in Google Ads

Enter the inputs required to create each campaign in Google Ads below
Enter YouTube, Google Display Network, or Google Shopping for placements.

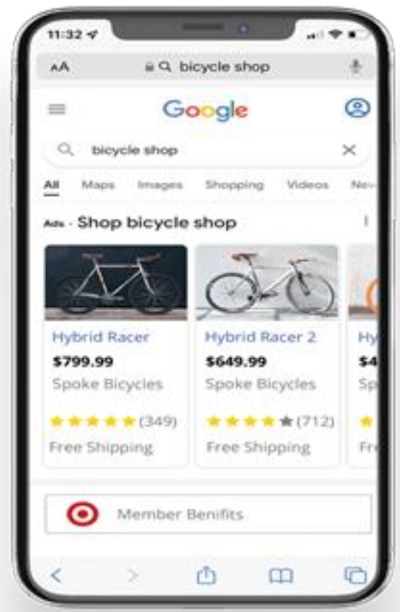
Campaign Input	Multichannel Campaigns		
	YouTube Video Shopping	Display Remarketing	Shopping Display
Campaign Goal (see list)	Brand Awareness & Reach	Consideration	Sales
Campaign Type (see list)	Video	Display	Shopping
Budget	$156,600	$26,000	$264,300
Bid Strategy	Target CPV	Target CPA	Target CPA
Target Bid Value	< $0.033	< $18.23	< $8.81
Placements	YouTube	Google Display Network	Google Shopping

Featured Ads

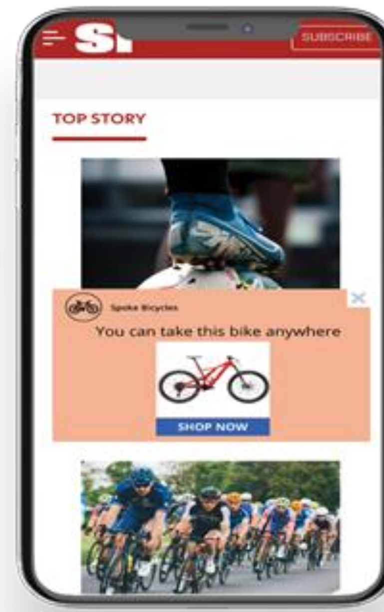
Below are the three ads to feature in the multichannel campaign. Each ad features creative elements which you will use as inputs to create the ads on the next page.



YouTube Video Shopping



Shopping Display



Display Remarketing

Featured Ads

Enter the inputs required to create the ads for each campaign below
Ensure that the inputs match the ads displayed on the previous page

Ad Input	Multichannel Campaigns		
	YouTube Video Shopping	**Display Remarketing**	**Shopping Display**
Ad Format	Skippable In-stream Video	Responsive Display Ad	Product Shopping Ad
Call to Action	Shop Now	N/A	N/A
Product Title	N/A	Spoke Cycling Gear	N/A
Headline	N/A	Gear Up with Spoke	N/A
Brand Logo (Yes/No)	Yes	Yes	Yes
Product Image (Yes/No)	Yes	Yes	Yes

Part 4

Provide Strategic Recommendations

Optimization for further improvement

Imagine you had additional budget, given your campaign evaluation, how would you use it?

- You may use “bullet points” for your analysis and may add as many slides as needed
- The following prompts can help you structure your answer:
    - Would you focus on certain Ad Groups, Ads or Targeting?
    - Would you change any of your existing Ads or Targeting or add any new ones?
    - Would you set up an A/B test, and if so, how would you go about it?
    - Would you make changes to the landing page, and if so, what kind of changes and why?

Write your recommendations/answers in the next two slides.

Optimization for further improvement

- **Double down on Shopping Display** — increase budget toward this channel due to the highest ROI (1.42).
- **YouTube Video Shopping** — test a shorter, product-focused creative with a direct "Visit Store" CTA to improve conversion to store visits.
- **A/B test landing page** — create a city-specific landing page per store location to reduce friction between ad click and in-store visit.
- **Expand Display Remarketing audiences** — add website visitors and YouTube 50%+ viewers to increase the high-ROI (1.60) remarketing pool.

Optimization for further improvement

- **Geo-targeting by store location** — restrict all campaigns to cities with Spoke stores. Narrowing the radius concentrates budget where clicks can convert to in-store visits, reducing wasted spend on audiences too far to visit.
- **Exclusion audiences** — exclude existing customers from YouTube Video Shopping and Display Remarketing to protect the 25% new-customer growth goal and avoid paying to re-acquire buyers who were already going to convert.
- **Seasonal budget allocation** — increase total campaign budgets by 20-30% in Q2 (April-June) and Q3 (July-August) when cycling demand peaks. Pull back in Q4 and Q1 to reallocate funds to higher-converting periods.

Design an experiment

Submit the requirements for an experiment to evaluate your recommendations for optimizing your multichannel channel campaigns.

Experiment Inputs	
Objective What is the goal of this experiment?	Increase YouTube Video Shopping ROI from 0.53 to ≥ 1.0
Hypothesis What do you think the test outcome will be?	Adding a time-limited discount offer to the YouTube video ad will increase store visits and improve ROI
Metrics to Test What parameters do you want to evaluate?	Store visits, CPA, ROI, CPV

Design an experiment

Experiment Inputs	
Test Campaign(s) What are the requirements for the test campaign?	YouTube Video Shopping with "10% Off In-Store" overlay CTA
Control Campaign(s) What is the current state that you will compare?	Current YouTube Video Shopping
Risks What are the risks of running this test to live audiences?	Could erode brand premium perception (discount may cannibalize full-price sales)
Business Impact What is the business value of this proposed test?	Closing the ROI gap from 0.53 to 1.0 on a $182K budget recovers $85K in value

Provide inputs for your campaign

Enter the inputs required to create a new campaign **based on your recommendations**
Enter YouTube, Google Display Network, or Google Shopping for placements.

Campaign	
Setting	**Input**
Campaign Goal (see list)	Conversions
Campaign Type (see list)	Video
Budget	$20,000
Bid Strategy	Target CPA
Max Bid	< $25.00
Placements	YouTube